

Only One Market Is Calm

The VIX sits low enough to license buying weakness. Bond volatility is doing the opposite. One of those readings governs today.

THE READING

August opened with the monthly Quad reading flipping from 4 to 3 — growth slowing, inflation reaccelerating modestly. The VIX carries a range of 15.09 to 20.66 and a bearish signal, and because it sits below 19 the US equity allocation is near a multi-month high, with a standing instruction to buy weakness. The Magnificent 7 bounced 3.2% on Monday, Amazon 15.3%. Seven of the nine ranges in the momentum tracker still show more downside than upside.

The other volatility market is doing something else. The MOVE index and the thirty-year yield are rising while equity vol stays quiet, and a short in long Treasuries is back on the table. The ten-year range is 4.61 to 4.75%. Utilities broke to bearish trend on the yield move.

WHAT WISDOM WOULD SAY

Aristotle's term is *phronesis*, practical wisdom, which the Nicomachean Ethics keeps separate from knowing the general rule. A person can hold the universal and still get the case wrong, because he has not recognised which particular he is standing in. In the same work Aristotle describes the leaden rule used by the builders of Lesbos: it bends to the shape of the stone rather than forcing the stone to the rule.

VIX below 19, buy weakness, is a good rule. It was built out of many mornings and it will be right more often than it is wrong. But it measures one market's fear. It was not constructed to see a bond market whose own volatility is rising while equities sit still, and it cannot tell you from the inside whether this is one of the mornings it was made for.

That is not an argument against rules. It is the question phronesis asks before applying one: is the case in front of me the kind of case this rule describes.

THE RISK IT JUSTIFIES

The rule justifies buying weakness in equities. It does not justify buying weakness in anything whose drawdown was caused by the long end. Those are two trades wearing the same word. Utilities fell because the thirty-year moved; a low VIX has nothing to say about that, and adding there is using an equity-vol permission to take a duration risk.

So if something is bought today, buy the weakness that equity volatility actually measures, and buy it smaller than the rule allows, because the rule is being applied outside the conditions it assumes. Leave the duration-sensitive part of the book alone while the two volatility markets disagree.

What would change the answer: two sessions with the ten-year holding inside 4.61 to 4.75% and the MOVE settling. Then the disagreement resolves, the rule fits the particular, and the smaller size cost very little.

Which of your rules were written for a morning that looks like this one?